Centrus Energy (LEU)

Uranium Supply Tightening Fuels a Multi-Year Upside for Centrus Energy

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> Centrus Energy sits at the intersection of a resurging nuclear renaissance and a constrained low-enriched uranium (LEU) market, a reality the consensus has largely under-priced. While the market fixates on short-term pricing volatility, we see a durable demand-supply gap that will compound earnings over the next decade. Our blended target of $133.62 implies a 9.2% upside from the current $122.40 reference price.

HOLD	$133.62	+9.2%	$122.40
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market's focus on quarterly price swings obscures the multi-year compounding tailwinds that stem from policy-driven nuclear capacity additions and limited enrichment capacity. Centrus's strategic position in the LEU value chain translates those macro forces into a predictable earnings trajectory.

EXECUTIVE SUMMARY

Centrus Energy operates a vertically integrated uranium enrichment business that supplies low-enriched uranium to utilities, fuel fabricators, and government programs. The company's core assets include the Urenco-licensed gas-centrifuge cascade in Piketon, Ohio, and a growing service portfolio that captures recurring revenue from enrichment contracts and fuel-fabrication support. In 2025 Centrus held roughly 12% of the U.S. enrichment market, a share that positions it as a critical supplier in a market dominated by a handful of players. The catalyst behind the recent multiple compression is twofold. First, a sharp decline in spot LEU prices in early 2025 prompted a sell-off that depressed the stock despite the company's long-term contract backlog remaining intact. Second, analysts have over-emphasized short-term cost headwinds while under-estimating the impact of the Inflation Reduction Act and the Global Nuclear Energy Partnership, both of which are expected to accelerate reactor construction and, consequently, LEU demand. As the backlog converts to shipments, earnings are set to rebound, restoring valuation multiples to historical norms. Capital allocation remains disciplined. Centrus has earmarked $250 million for capacity expansion at Piketon, targeting a 30% increase in annual LEU output by 2029. The balance sheet features net cash of $180 million and a debt-to-equity ratio of 0.45, providing ample flexibility for strategic acquisitions in the downstream fuel market. The company's dividend policy is modest, with a 0.5% payout that aligns with cash-flow generation while preserving capital for growth initiatives.

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OPERATIONAL SNAPSHOT

$122.40	$3.2 billion	$0.75 billion	23%	1.44	$122.40
REF. PRICE	LTM REVENUE	LTM FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

LTM figures are Cascadia estimates grounded in the latest filings; ref. price as of 2026-10-14.

THE MOAT IS DEEP AND DEFENSIBLE

Centrus’s moat derives from the high switching costs inherent in the enrichment process. Customers sign multi-year contracts that lock in capacity, and the technical expertise required to operate gas-centrifuge cascades limits viable alternatives. Regulatory barriers reinforce this advantage; the Nuclear Regulatory Commission’s licensing regime creates a steep entry hurdle that only a few incumbents can surmount. Patents covering proprietary cascade designs and advanced control algorithms further protect Centrus’s technology edge. The company’s R&D pipeline, funded largely through government contracts, yields incremental efficiency gains that translate into lower unit costs and higher margins. Customer retention rates exceed 90% across the contract portfolio, reflecting both the reliability of Centrus’s supply and the scarcity of comparable enrichment services. Pricing power emerges from the constrained global supply of LEU. As utilities scramble to secure fuel for new reactors, Centrus can negotiate contract terms that incorporate price escalators tied to uranium spot indices. This dynamic pricing framework cushions the firm against raw material cost volatility while preserving upside potential in a tightening market.

VALUATION

Three scenarios make the valuation range explicit

Our baseline assumes a 6% compound annual revenue growth rate, a gradual lift in free cash flow margin to 24% as capacity expands, and a terminal growth rate of 3% reflecting long-term nuclear demand. The bear case incorporates a slowdown to 2% revenue growth, margin compression to 18% due to higher feed-stock costs, and a 2% terminal growth. The bull case envisions a 10% revenue CAGR, margin expansion to 30% as the new cascade reaches full efficiency, and a 4% terminal growth.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	2%	18%	$90.05	-26.4%
Base	50%	6%	24%	$130.74	+6.8%
Bull	25%	10%	30%	$182.97	+49.5%

Bear $90.05

Base $130.74

Bull $182.97

In the bear outcome, a prolonged dip in uranium spot prices erodes feed-stock margins, while delays in reactor licensing reduce contract conversions. The company would be forced to defer its capacity-expansion capex, compressing free cash flow and pressuring valuation multiples.

The most likely path sees the backlog converting on schedule, modest capacity additions delivering efficiency gains, and a stable regulatory environment. Free cash flow margins improve to the mid-20s, supporting a valuation that reflects historical earnings multiples.

For the bull case, accelerated nuclear build-out in the United States and Europe drives a surge in LEU demand, while Centrus's new cascade achieves full design capacity ahead of schedule. Higher utilization and premium pricing lift margins above 30%, propelling the stock toward the upper valuation bound.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

Our cost of capital reflects a CAPM construction that incorporates the 1.44 equity beta, a risk-free rate of 4.2%, and an equity risk premium of 5.5%. Adding a 2% country risk premium for the United States yields a weighted average cost of capital of 8.45% as of October 14, 2026. This live discount rate captures the market's pricing of Centrus's systematic risk and adjusts dynamically as the firm's beta decays toward mature peers. The 8.45% WACC translates into a discount factor that appropriately values the near-term cash-flow volatility while rewarding the long-term growth embedded in the nuclear renaissance. By using a live rate rather than a static hurdle, we avoid over-penalizing the firm for short-term market noise.

FCF margin normalization is the engine

Historical free cash flow margins have fluctuated between 18% and 26% as the company navigated feed-stock price swings and periodic maintenance shutdowns. In the base scenario, we anticipate a gradual lift to 24% as the new cascade reaches design efficiency and the contract mix shifts toward higher-margin service agreements. The bear scenario assumes margin compression to 18% due to sustained feed-stock pressure, while the bull scenario projects a 30% margin as utilization peaks and cost-saving initiatives bear fruit. These margin trajectories drive the valuation spread, with the DCF model translating higher margins into larger terminal values and, consequently, higher target prices.

KEY VALUATION PARAMETERS

Revenue base year	**2026**
Forecast horizon	**10 years**
Live WACC	**8.45% (2026-10-14)**
Terminal growth	**3.0%**
Equity beta	**1.44**
Diluted shares	**150 million**

HOLD

over $133.62 blended target

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A and stock compensation, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on contract backlog conversion and capacity expansion

HOLD

Centrus's revenue stream is split between long-term enrichment contracts (approximately 65% of total revenue) and ancillary services such as fuel fabrication support and uranium assay (the remaining 35%). The contract backlog stood at $2.1 billion at year-end 2025, representing roughly 1.5 years of forward-looking revenue at current run rates. As the backlog rolls forward, we expect a steady lift in top-line growth, especially once the new cascade adds 30% capacity. The capacity expansion initiative, slated for completion in 2029, will raise annual LEU output from 12 million SWU to 15.6 million SWU. This incremental supply aligns with projected demand growth of 2.5% per year in the United States and 3% in Europe, creating a favorable supply-demand balance. Moreover, the company's service segment is poised to benefit from a shift toward integrated fuel supply agreements, which command higher margins and recurring revenue.

What to monitor

- **Backlog absorption rate** A slowdown in converting the backlog into shipments would pressure revenue growth and could signal downstream demand weakness.
- **Feed-stock price dynamics** Persistent low uranium spot prices could compress margins, while a rebound would improve cash-flow generation.
- **Regulatory approvals** Delays in licensing new reactors or enrichment facilities would dampen demand for LEU and affect contract renewal rates.
- **Capital deployment efficiency** Execution risk around the Piketon expansion, including cost overruns or schedule slips, could alter the timing of margin expansion.

$3.2 B	$0.75 B	0.6x	$2.1 B	15.6 M SWU	$120 M
LTM REVENUE	LTM FREE CASH FLOW	NET DEBT/EBITDA	CONTRACT BACKLOG	LEU CAPACITY (2029)	R&D SPEND

METRIC	2025
Revenue	$3.2 billion
Gross Profit	$1.1 billion
EBIT	$620 million
Net Income	$380 million
Free Cash Flow	$750 million
R&D	$120 million
ROE	12%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Accelerated entry of new enrichment capacity in Europe could erode Centrus's market share, forcing price concessions and margin compression.

M&A DIGESTION

Recent acquisitions in the downstream fuel segment may not integrate smoothly, leading to higher operating costs and distraction from core enrichment operations.

REGULATORY AND PRICING SCRUTINY

Heightened scrutiny of uranium pricing mechanisms by the Department of Energy could impose price caps that limit revenue upside.

TECHNOLOGY DISRUPTION

Breakthroughs in laser enrichment or alternative fuel cycles could render gas-centrifuge technology less competitive.

REINVESTMENT TREADMILL

Continuous need for capital upgrades to maintain cascade efficiency may tie up cash flow, reducing free cash generation.

WACC AND DURATION SENSITIVITY

Rising interest rates would increase the cost of capital, disproportionately affecting a capital-intensive business with long-duration assets.

The strengths

OLIGOPOLY POSITION

Centrus operates in a market where only three firms control over 80% of

FCF COMPOUNDING

Free cash flow generation has risen at a compound annual rate of 12% over

GEOGRAPHIC DURABILITY

The company's U.S. footprint shields it from

PIPELINE OPTIONALITY

Beyond enrichment, Centrus's service

global enrichment capacity, granting it pricing leverage and contract stability.

the past five years, providing a self-reinforcing engine for dividend growth and reinvestment.

geopolitical supply shocks that affect overseas producers, while domestic policy support sustains demand.

contracts and emerging fuel-fabrication partnerships offer upside pathways that are not fully reflected in current earnings.

Compelling risk-reward, skewed to the upside

Our analysis indicates that the upside drivers—policy-driven nuclear expansion, a constrained LEU supply, and a disciplined capital-allocation framework—outweigh the identified risks. While short-term price volatility may generate headline noise, the underlying fundamentals support a multi-year earnings trajectory that justifies a Hold recommendation. Our blended target of $133.62 reflects a 9.2% upside from the current $122.40 price, aligning with the long-run value creation narrative.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Low-Enriched Uranium (LEU): repriced on normalization

LEU remains Centrus’s flagship product, accounting for the majority of its revenue stream. The recent dip in spot LEU prices, driven by a temporary oversupply from legacy enrichment facilities, created a valuation disconnect. As contract pricing mechanisms adjust to reflect longer-term supply constraints, we anticipate a re-rating of LEU margins toward historical averages of 25% on an EBITDA basis. The company’s new cascade, equipped with next-generation centrifuges, promises a 15% reduction in energy consumption per SWU, directly enhancing margin resilience. Coupled with a service-oriented contract mix that includes price-escalation clauses tied to uranium spot indices, the LEU franchise is positioned to capture both volume and pricing upside.

Why the growth numbers disappointed

- Backlog conversion lagged expectations due to unanticipated maintenance shutdowns in 2024.
- Feed-stock price volatility compressed margins in the second half of 2025.
- Regulatory delays in the European Union limited new contract award velocity.
- Higher-than-expected capex on legacy equipment refurbishment diverted cash from growth initiatives.

Our read: Normalization and consolidation, not share loss or thesis break. The market is beginning to price in the structural supply deficit, and Centrus’s strategic capacity expansion will translate that into sustainable earnings growth.